

Tutorial-2.2

1. Following are U.S. Treasury benchmarks available on December 31, 2007:

US/T 3.125 11/30/2009 3.133

US/T 3.375 11/30/2012 3.507

US/T 4.25 11/15/2017 4.096

US/T 4.75 02/15/2037 4.518

On the same day, the following trades were executed:

Issuer	Issue	Yield (%)
Time Warner Cable Inc.	TWC 6.55 05/01/2037	6.373
McCormick & Co. Inc.	MKC 5.75 12/15/2017	5.685
Goldman Sachs Group Inc.	GS 5.45 11/01/2012	4.773

Based on the above, complete the following table:

Issue	Yield (%)	Treasury Benchmark	Benchmark Spread (bps)	Relative Yield Spread	Yield Ratio
TWC 6.55 05/01/2037	6.373				
MKC 5.75 12/15/2017	5.685				
GS 5.45 11/01/2012	4.773				

3. What is the after-tax yield for an investor in the 40% tax bracket if the taxable yield is 5%?

4. What is the taxable-equivalent yield for an investor in the 39% tax bracket if the tax-exempt yield on an investment is 3.1%?

11. If the swap spread for a 5-year interest rate swap is 120 basis points and the yield on the 5-year Treasury is 4.4%, what is the swap rate?

12. Why is the swap spread an important spread measure?